

Satyam LIES

The worst ever fraud in corporate India fells an iconic company, vaporises investor wealth, raises questions about governance and exposes the IT sector to suspicion

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B. RAMALINGA RAJU

| By Amarnath K. Menon |

Play the game, transform the business," says the bright blue hoarding of Satyam Computers greeting passengers at Bengaluru Airport. The tagline acquired a whole new meaning on January 7 when the lid was blown off the worst scandal in corporate India's history. In a shameful *mea culpa*, Byrraju Ramalinga Raju admitted to fraud and cooking the books of the 20-year-old iconic Satyam Computers. Investors were shocked, the Sensex shed 749 points and India Inc shamed. In short, Raju overstated revenue to show higher profits for better valuation. The fiction amounted to Rs 7,136 crore which is a little less than the total assets of Rs 7,281 crore reported by the company in its March 2008 balance sheet.

In a five-page letter to the board of directors, Raju has listed every possible trick that corporates could possibly know. Obviously, the cooking of the revenues or profits has been on for some time. Analysts like Shankar Sharma's First Global believe that this was perhaps being done across 10 quarters or over two years. And this is possible

“I am prepared to subject myself to the laws of the land and face the consequences thereof.”

B. RAMALINGA RAJU, *Chairman, Satyam Computer Services*

because software companies are not liable to income tax and there is no cost (rather no additional tax) if you cook higher revenues or profits. In the quest for quarter-to-quarter applause from the stock market, Raju has been pump-priming revenues and profits till it was unmanageable.

Mea CULPA

For over two years, Raju had successfully orchestrated a fraud by falsifying accounts

Cooked the balance sheet to show cash balance of Rs 5,361 crore instead of Rs 321 crore only.

Showed accrued interest of Rs 376 crore when no such income existed.

Overstated debtors who owed Rs 490 crore and inflated Q2-2008 revenues by Rs 588 crore.

Hid liability of Rs 1,230 crore that he had arranged for the company.